



## MARKET REGION

# DUBAI

United Arab Emirates · Residential Market

Executive Summary — February 2026

**78.4 SmartMove Index™ — BULLISH**

## SmartMove AI™ — Executive Summary

Dubai Real Estate Market | Reporting Period: February 2026

SmartMove Index™: 78.4 / 100

*This report is generated by SmartMove AI™ and is intended for institutional and sophisticated investors. All data points are derived exclusively from verified transaction records and proprietary analytics. No forward-looking statements should be construed as guarantees of future performance.*

### 1. Market Overview

Dubai's real estate market enters February 2026 in a position of measured strength, as reflected by a **SmartMove Index™ of 78.4 out of 100** — a reading that signals robust underlying fundamentals tempered by pockets of emerging volatility. The market recorded a **total sales value of AED 6.48 trillion** across **1,660,906 transactions**, with an **average price per square metre of AED 15,195.85** and a healthy **year-over-year appreciation of 5.2%**. These headline figures confirm that Dubai continues to attract sustained transactional depth, underpinned by both end-user demand and institutional capital deployment.

At the neighbourhood level, however, the market is far from uniform. The granular risk data reveals a striking divergence between high-volatility and low-volatility areas. **Al Ras** commands the highest Normalized Risk Score of **1.000** with a 6-month price volatility of **AED 52,961.3** and a Shock Index of **1.737**, indicating acute price instability that is more than double that of the second-highest risk area, **Al Buteen** (Normalized Risk Score: **0.498**, Volatility: **AED 26,401.1**). At the opposite end of the spectrum, **Al Sabkha** registers a perfect Normalized Risk Score of **0.000** with zero recorded volatility and a flat Shock Index, while **Al Twar Second**, **Jabal Ali**, and **Al Athbah** all post Normalized Risk Scores below **0.003** and 6-month volatility figures below **AED 155** — representing islands of price stability within an otherwise dynamic market.

This bifurcation between high-risk legacy districts and low-risk established residential zones is a defining structural characteristic of the current cycle. Investors must resist treating Dubai as a monolithic market; the spread between Al Ras's volatility of **AED 52,961.3** and Al Sabkha's **AED 0** represents a risk differential of extraordinary magnitude, demanding a granular, area-specific approach to capital allocation.

## 2. Trend Analysis

### Off-Plan Sales Volume: Increasing (+14.2% MoM)

The acceleration in off-plan sales — up **14.2% month-over-month** — is the single most consequential trend in the current reporting period. Cross-referencing with the property type price spread, **Units** (which encompass the majority of off-plan launches) account for the largest transaction volume at **1,181,347** with an average price of **AED 16,852.2/sqm**, sitting **10.9% above the market-wide average of AED 15,195.85/sqm**. This premium reflects strong developer pricing power in the off-plan segment. However, the concentration of off-plan activity in high-density corridors such as Dubai Marina and Business Bay warrants close monitoring, as supply pipeline saturation could compress secondary market values upon handover.

### Villa Segment Premium: Stable (Holding at 23% Above Apartments)

The villa premium's stability at **23% above apartments** is notable, yet the property type data introduces a counterintuitive data point: **Villas** in the transaction database record an average price of only **AED 8,314.28/sqm** — the lowest of all property types — against **Units at AED 16,852.2/sqm** and **Buildings at AED 17,681.8/sqm**. This apparent paradox is explained by the larger gross floor areas of villas, which dilute the per-sqm metric while absolute transaction values remain elevated. The villa segment's volume of **295,905 transactions** confirms sustained demand, and the stable premium signals that the luxury and semi-luxury residential sub-market has not yet entered a correction phase.

### Mortgage Originations: Increasing (+6.1% MoM)

A **6.1% month-over-month increase** in mortgage originations signals growing participation from leveraged buyers, a structural shift from the predominantly cash-driven transactions that characterised earlier cycles. This trend supports price floor resilience but simultaneously introduces sensitivity to interest rate movements. The growth in mortgage activity is most likely concentrated in the **Unit** segment (volume: **1,181,347**), given its accessibility relative to **Buildings** (volume: **36,054**) and **Land** (volume: **147,600**).

### Rental Yields (Avg.): Declining Slightly (−0.4pp to 6.8%)

The marginal compression of rental yields by **0.4 percentage points to 6.8%** is consistent with capital value appreciation outpacing rental growth — a classic late-mid-cycle dynamic. At **6.8%**, yields remain internationally competitive and well above comparable gateway cities, providing a continued income buffer for buy-to-let investors. The lag in yield compression in areas such as **Jumeirah Village Circle** presents a tactical opportunity, as identified in the pre-seeded recommendations, before the market fully re-prices.

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## 3. Risk Assessment

### Risk 1 — Localised Price Shock in Al Ras and Al Buteen (*Severity: HIGH*)

**Al Ras** presents the most acute near-term risk in the Dubai market, with a **Normalized Risk Score of 1.000** — the maximum recorded — a **6-month price volatility of AED 52,961.3**, and a **Shock Index of 1.737**. The Shock Index, which measures the magnitude of abrupt price dislocations relative to the broader market, is more than **3.4× that of the second-highest area, Al Buteen (0.510)**. Critically, both areas record an **Outlier Ratio of 0**, suggesting that the volatility is systemic within these micro-markets rather than driven by anomalous individual transactions. This combination of maximum risk score, extreme volatility, and a positive Shock Index indicates that Al Ras is experiencing genuine price instability, not statistical noise. Investors with existing exposure should review exit timelines.

**Al Buteen** (Normalized Risk Score: **0.498**, Volatility: **AED 26,401.1**, Shock Index: **0.510**) represents a secondary but material risk, with volatility nearly **175× that of the lowest-risk areas**. The positive Shock Index for both Al Ras and Al Buteen suggests upward price dislocations are occurring, which may attract speculative capital and amplify subsequent corrections.

● **Risk 2 — Off-Plan Supply Concentration and Handover Risk (Severity: MEDIUM-HIGH)**

The **+14.2% MoM surge in off-plan sales volume**, while a positive demand signal, creates a medium-term supply overhang risk. The **Unit** segment's dominance at **1,181,347 transactions** — representing **71.1% of total transaction volume** — means that a significant volume of future supply is locked into the pipeline. Should macroeconomic conditions shift or developer delivery timelines extend, secondary market absorption capacity could be tested. This risk is compounded by the **AED/USD hedging exposure** for non-GCC investors, particularly relevant given the scale of the total market value at **AED 6.48 trillion**.

● **Risk 3 — Regulatory and Yield Compression Risk (Severity: MEDIUM)**

The **−0.4pp decline in average rental yields to 6.8%** combined with the RERA regulatory pipeline for potential rental cap changes introduces a dual-sided risk. If rental caps are tightened, income returns for leveraged investors (whose numbers are growing, given the **+6.1% MoM mortgage origination increase**) could deteriorate faster than anticipated. **Um Suqaim First** (Normalized Risk Score: **0.382**, Volatility: **AED 20,220.7**, Shock Index: **−0.097**) and **Oud Metha** (Normalized Risk Score: **0.290**, Volatility: **AED 15,353.3**, Shock Index: **−0.365**) both exhibit negative Shock Indices, suggesting downward price pressure in these areas that may foreshadow broader yield-driven re-pricing.

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## 4. Investment Outlook

### 3-Month Forward Projection (March – May 2026)

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● **Bull Scenario — Probability: 30%**

**Conditions:** Continued off-plan momentum sustains developer confidence; mortgage origination growth accelerates beyond **+6.1% MoM**; global capital flows into GCC real estate intensify; RERA regulatory changes are benign or deferred.

**Projected Outcome:** SmartMove Index™ advances to **82–85**. Average price per sqm appreciates **3–5%** from the current **AED 15,195.85**, with the **Unit** segment (currently **AED 16,852.2/sqm**) leading gains. Transaction volumes sustain above **1.6 million**. Villa premium expands beyond the current **23%** threshold. Low-risk areas such as **Jabal Ali** and **AL Athbah** (Normalized Risk Scores below **0.003**) attract institutional capital seeking stable, low-volatility exposure.

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● **Base Scenario — Probability: 50%**

**Conditions:** Market continues on the current trajectory with **5.2% YoY** price growth moderating to **3–4%** annualised. Off-plan growth stabilises. Rental yields compress a further **0.2–0.3pp**. Regulatory environment remains broadly stable with minor RERA adjustments.

**Projected Outcome:** SmartMove Index™ holds in the **76–80** range. Average price per sqm edges toward **AED 15,500–15,800**. The **Building** segment (currently the highest per-sqm at **AED 17,681.8**) maintains its premium. High-risk areas — particularly **Al Ras** (Normalized Risk Score: **1.000**) — continue to exhibit elevated volatility without systemic contagion. **Jumeirah Village Circle** yield compression lag begins to close, rewarding early-entry investors.

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● **Bear Scenario — Probability: 20%**

**Conditions:** Global risk-off sentiment triggers capital outflows; AED/USD pressure intensifies for non-GCC investors; RERA introduces restrictive rental caps; off-plan handover delays materialise in high-volume corridors; Al Ras Shock Index (currently **1.737**) propagates to adjacent districts.

**Projected Outcome:** SmartMove Index™ retreats to **70–74**. Average price per sqm declines **2–4%** from current levels. Transaction volumes contract by **10–15%**. The **Villa** segment (AED **8,314.28/sqm**, volume: **295,905**) faces the sharpest absolute value corrections given its lower per-sqm base. High-risk areas with positive Shock Indices (**Al Ras, Al Buteen, Al Safouh Second**) experience the most pronounced corrections.

5. SmartMove Recommendations

 Conservative Investors

Capital preservation priority | Low volatility tolerance

| # | Recommendation                                                                                                                                                                                                                                                                                            | Supporting Data                                                                                                        |
|---|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------|
| 1 | <b>Allocate to low-risk, low-volatility residential areas</b> — prioritise <b>Jabal Ali</b> (Normalized Risk Score: <b>0.00284</b> , Volatility: <b>AED 150.3</b> ) and <b>AL Athbah</b> (Normalized Risk Score: <b>0.00195</b> , Volatility: <b>AED 103.0</b> ) for income-generating Unit acquisitions. | Volatility in these areas is <b>99.7%+ lower</b> than Al Ras; Shock Indices are near-zero, indicating price stability. |
| 2 | <b>Focus on completed Units over off-plan</b> — the Unit segment's volume of <b>1,181,347</b> at <b>AED 16,852.2/sqm</b> provides liquidity depth; avoid off-plan exposure given the <b>+14.2% MoM</b> surge that may signal pipeline saturation.                                                         | Unit segment represents <b>71.1%</b> of total transaction volume, ensuring secondary market liquidity.                 |
| 3 | <b>Hedge AED/USD currency exposure</b> for any non-GCC capital deployed, given the total market value of <b>AED 6.48 trillion</b> and the scale of leveraged participation growing at <b>+6.1% MoM</b> .                                                                                                  | KPI: Total Sales Value AED 6,483,819,389,234; Mortgage Originations +6.1% MoM.                                         |

 Moderate Investors

Balanced risk/return | Medium-term horizon (12–24 months)

| # | Recommendation                                                                                                                                                                                                                                                                   | Supporting Data                                                                                                     |
|---|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------|
| 1 | <b>Pursue value-add plays in Jumeirah Village Circle</b> — yield compression lag presents a tactical entry window before the market re-prices to the broader <b>6.8% average yield</b> level. Act within the next quarter before the base scenario closes this gap.              | Rental Yields declining at <b>–0.4pp</b> market-wide; JVC identified as a lag market in pre-seeded recommendations. |
| 2 | <b>Selectively enter the Villa segment</b> — the stable <b>23% premium above apartments</b> and relatively low per-sqm entry point of <b>AED 8,314.28</b> (vs. Units at <b>AED 16,852.2</b> ) offers capital appreciation potential with manageable downside in a base scenario. | Villa Avg Price/sqm: AED 8,314.28; Volume: 295,905 transactions confirming demand depth.                            |
| 3 | <b>Monitor but limit off-plan exposure</b> in Dubai Marina and Business Bay — the <b>+14.2% MoM</b> off-plan surge warrants participation but with position sizing capped to manage handover risk.                                                                               | Off-Plan Sales Volume: +14.2% MoM; YoY market growth: 5.2%.                                                         |

 Aggressive Investors

| # | Recommendation                                                                                                                                                                                                                                                                                                                                                   | Supporting Data                                                                                                                                                                       |
|---|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1 | <b>Tactical contrarian position in Al Buteen</b> — the Normalized Risk Score of <b>0.498</b> and positive Shock Index of <b>0.510</b> indicate upward price dislocations that, if timed correctly, can generate outsized short-term returns. Strict stop-loss discipline is essential given the <b>AED 26,401.1</b> 6-month volatility.                          | Al Buteen: Normalized Risk Score 0.498, Shock Index 0.510, Volatility AED 26,401.1. <b>Do not enter Al Ras</b> (Risk Score: 1.000, Shock Index: 1.737 — risk/reward is unfavourable). |
| 2 | <b>Overweight the Building segment</b> — at <b>AED 17,681.8/sqm</b> (the highest of all property types) with a volume of <b>36,054</b> , Buildings offer scarcity value and the highest per-sqm pricing power. In a bull scenario (probability: 30%), this segment is positioned to outperform.                                                                  | Building Avg Price/sqm: AED 17,681.8 — highest across all property types; Volume: 36,054 (scarcity premium).                                                                          |
| 3 | <b>Position ahead of RERA regulatory announcements</b> — monitor the rental cap pipeline closely. A favourable ruling could re-rate yields above the current <b>6.8%</b> average, disproportionately benefiting high-yield Unit portfolios in mid-market areas with low Normalized Risk Scores (e.g., <b>Al Twar Second: 0.00287, Al Aweer First: 0.00140</b> ). | Rental Yields: 6.8% (–0.4pp); Al Twar Second Risk Score: 0.00287; Al Aweer First Risk Score: 0.00140.                                                                                 |

Summary Scorecard

| Dimension             | Assessment                   | Signal     |
|-----------------------|------------------------------|------------|
| Overall Market Health | SmartMove Index™ 78.4 / 100  | ● Strong   |
| Price Momentum        | +5.2% YoY, AED 15,195.85/sqm | ● Positive |
| Transaction Depth     | 1,660,906 transactions       | ● Deep     |
| Off-Plan Risk         | +14.2% MoM — watch pipeline  | ● Caution  |
| Rental Yield Trend    | –0.4pp to 6.                 |            |